DEEPSTACK The Buildout · Part 07 · Memo

RATES

The Fed Hiked. The Long End Still Climbed.

The rate rise did not tame long yields. The bill for AI's capital binge is arriving through bonds, deficits and the investors now setting the price of duration.

By DeepStack · September 27, 2026 · Rates · 9 min read on the page · deepstack.ltd/stories/the-fed-hiked-the-long-end-kept-climbing/

THE DEEPSTACK CALL

Skeptical Supply sets the long end

The bond market is pricing the AI bill, not a recession. The Fed cannot hike its way to a lower 10-year.

Conviction High (4/5) · Version 2 · Oct 9, 2026

WHAT TO DO WITH THIS

1. Use a 10-year above 5% as the base case for valuing long-duration AI assets.
2. Track foreign demand, Japan first: buyers returning without a better hedge would break the supply story.
3. Circle the 2028 refinancing wave; that is when today's rates reach AI's borrowers.

WHAT WOULD CHANGE OUR MIND

- Long yields fall while nominal growth, inflation and AI capital spending stay firm.
- Japanese and other foreign buyers return in size without a better hedge.

THE FULL ARGUMENT

The DeepStack Call is that the bond market is repricing the cost of the AI buildout, not forecasting its immediate collapse. The single most important reason is the financing mix: extraordinary capital spending and federal borrowing are leaning on markets even as the Fed's short rate reaches only the households and borrowers it can touch directly. Growth explains why the move is orderly; it does not make the eventual refinancing bill disappear. We would change our mind if long yields fell while nominal growth, inflation and AI capital spending stayed firm, or if Japanese and other foreign buyers returned in size without a better hedge. That would show demand and Fed control mattered more than supply.

CALL HISTORY

Version	Date	Stance	Conviction	Reason	By
v2	Oct 9, 2026	Supply sets the long end	High (4/5)	Side named by the owner.	Marco Cauduro
v1	Sep 27, 2026	Supply sets the long end	High (4/5)	First call, as published with the story. The conviction, the actions and the flips were set down for the site on October 7, 2026.	DeepStack

BY THE NUMBERS

5.18%
10-year Treasury yield
FRED, six trading days after September 16

$1.97T
Federal deficit
TSCS, cumulative through August 2026

8.25%
CleanSpark note coupon
JunkBondInvestor, September 18, 2026

$2.3T
Hyperscaler backlog
Apollo via DeepValue Capital, September 2026

WHO IS ON EACH SIDE

Why did the long end climb after the hike: growth, debt, or a missing buyer?

Each voice is attributed and paraphrased, dated where the date is known, with a link where one exists. DeepStack shows no score, ranking or accuracy for any person. The page: deepstack.ltd/sides/the-fed-hiked-the-long-end-kept-climbing/

6 VOICES

Growth: yields are catching up

Michael Howell Sep 18, 2026
The current bond market cycle is behaving like a normal cycle, and a major buying opportunity for fixed income is approaching as yields near a peak.
capitalwars.substack.com/p/its-the-economy-stupid

Michael Howell Sep 18, 2026
The risk-return balance for bonds is improving: a further 50bp yield rise would still give bonds a positive annual return, while a subsequent 100bp yield fall would generate a more than 12% annual return.
capitalwars.substack.com/p/its-the-economy-stupid

Matthew C. Klein Sep 14, 2026
Contrary to what many officials expected, inflation stopped decelerating in 2023, which is especially visible in underlying measures that exclude volatile and idiosyncratic components.
theovershoot.co/p/just-waiting-for-disinflation-is

Matthew C. Klein Sep 14, 2026
The 'supercore' version of the PCE price index was rising about 1 percentage point faster than in the years immediately preceding the pandemic even before the surprises of 2025-2026, and is now rising about 2 percentage points faster.
theovershoot.co/p/just-waiting-for-disinflation-is

Kris Sep 21, 2026
Interest rate hikes are not currently a problem for the economy or investing, because if the economy and company profits grow faster than the interest rate, value is created, and the estimated Q3 GDP growth of 5.1% plus inflation gives nominal...
www.potentialmultibaggers.com/p/the-end-of-an-era

Kris Sep 21, 2026
The main reason for higher inflation is probably the more expensive oil, and a higher interest rate will not cure that; the Fed just wants to ensure inflation doesn't get out of hand.
www.potentialmultibaggers.com/p/the-end-of-an-era

THE STRONGEST CASE AGAINST THIS SIDE

DeepValue Capital Sep 18, 2026

DeepValue Capital reads the September BofA Fund Manager Survey as showing investors overcrowded and bullish on semiconductors and tech while selling bonds, staples, REITs and telecoms, and attributes the selling to rising yields hurting…

Contradicts Michael Howell on evidence · deepvaluecapitalbykyler.substack.com/p/the-fed-hiked-rates-into-falling

9 VOICES

Debt: 99% of GDP, up from 35%

TSCS Aug 29, 2026

The Federal Reserve faces a trap: if it hikes rates it loses control of the long end because it feeds an annual interest bill approaching $1 trillion, but if it cuts despite 3.4% inflation it also loses the long end, creating a frustrating setup…

tscsw.substack.com/p/gold-calls-the-hawks-bluff

TSCS Sep 21, 2026

TSCS argues governments and central banks do not want long yields higher and will go a long way to stop it, which means that if they succeed real yields fall and today's 2.65% over inflation won't be on offer for long, and if the way they succeed…

tscsw.substack.com/p/lehman-yields-no-lehman

Vitaliy Katsenelson Sep 10, 2026

Bond investors are rejecting the government-set price for Treasuries because of large, unaddressed budget deficits that may grow rather than shrink over the next 10 years, and because budget deficits imply inflation; Vitaliy Katsenelson says they…

vitaliy.substack.com/p/narrative-change-part-1

Vitaliy Katsenelson Sep 10, 2026

In mid-August 2026 the 30-year Treasury yield reached its highest level in 19 years, above 5.3% (last seen in 2007), and the 10-year yield hit 4.75%; these are important because 30-year mortgage rates are set from them and about two-thirds of US…

vitaliy.substack.com/p/narrative-change-part-1

Steve Eisman Sep 11, 2026

Treasury Secretary Bessent's $4 billion to $6 billion effort to buy long Treasuries and push rates down failed, as rates went up anyway, and his speaking at a partisan political convention undermined his credibility with the bond market.

Steve Eisman Sep 11, 2026

Ten-year Treasury yields have broken through 4.8% and then 4.9%, the highest level since November 2023, driven by the Iran war pushing oil prices above $100.

George Noble

No secretary talks down $40T of debt.

Stephen Clapham Sep 20, 2026

Stephen Clapham states they would maintain a near-zero weight in US Treasuries, other than those trading at a near-50% discount to nominal value which they see as an asymmetric bet, a position they say they have covered in recent weeks.

behindthebalancesheet.substack.com/p/what-investors-are-missing-about

Stephen Clapham Sep 6, 2026

A rise in short rates would be a problem given the government funds around 85% of its financing needs (the flow) with short-term bills, though on a stock basis bonds of over 5 years duration are only about 30% of the total, still a fairly...

THE STRONGEST CASE AGAINST THIS SIDE

Michael Howell Sep 18, 2026

Michael Howell estimates the net-supply component of term premia at minus 27 basis points, with inflation uncertainty and volatility premia also historically subdued, so term premia are low across virtually every measure, implying a significant...

Contradicts Vitaliy Katsenelson on evidence · capitalwars.substack.com/p/its-the-economy-stupid

6 VOICES

A missing buyer

Michael W. Green Aug 23, 2026

The structural buyer base for long-duration Treasury debt has been withdrawing in stages for years—the Japanese hedged bid was damaged by the 2022 rate shock, Russia and China ceased buying in summer 2022, corporate pensions largely finished their...

www.yesigiveafig.com/p/great-scott

Michael W. Green Aug 16, 2026

What markets are showing is not a shortage of safe assets but a shortage of buyers willing to own duration, with sovereigns and corporates both saying the same thing: the corporate safe-asset factory is becoming ordinary risky debt and the...

www.yesigiveafig.com/p/anchors-aweigh-my-boys

Mia Silverio Sep 14, 2026

Mia Silverio argues that persistent inflation concerns have pushed the U.S. 10-year Treasury yield near the closely watched 5% level for only the second time since the 2007-2008 financial crisis, and notes long-term Treasurys have returned -2%...

Mia Silverio Sep 21, 2026

Canada's public pension funds are the third-largest pool of retirement savings in the world, and Canadian institutional managers are cooling on US investments: this past July Canadians sold $22 billion in US stocks, the biggest monthly sell-off...

www.profgmedia.com/p/a-new-ai-app-beat-chatgpt-to-no-1

TSCS Sep 21, 2026

Oil explains the day-to-day wiggles in yields but not the trend, since Brent is cheaper today than at its spring peak while the 10-year is 70bp higher, even though since the war a $10 Brent move has come with about 5bp on the 10-year (roughly 3…

tscsw.substack.com/p/lehman-yields-no-lehman

TSCS Sep 16, 2026

TSCS argues the front end cannot cap the long end: a hike is only about 4/10 of a percent of receipts and mostly lands as income with people who spend it, Treasury buybacks manage volatility rather than level, and the buyers who used to close the…

tscsw.substack.com/p/everything-goes-up-until-stocks-go

THE STRONGEST CASE AGAINST THIS SIDE

Michael Howell Sep 4, 2026

US term premia remain broadly stable and have recently moved lower, with little sign they are rising relative to foreign equivalents, which undercuts the loss-of-confidence narrative for US Treasuries.

Contradicts Mia Silverio on evidence · capitalwars.substack.com/p/impossible-things

2 VOICES

Voices that cross sides

TSCS Aug 29, 2026

Kevin Warsh is a pretend hawk rather than a constrained one, meaning he talks tough on inflation while avoiding costly action, and this position can be falsified by a rate hike on 16 September.

tscsw.substack.com/p/gold-calls-the-hawks-bluff

TSCS Sep 16, 2026

TSCS's forward view is that oil and long yields keep rising until stocks fall, because the S&P is the only release valve left: the bond-market valve that worked in April 2025 is the one the buybacks are designed to keep shut.

tscsw.substack.com/p/everything-goes-up-until-stocks-go

NOT A DISAGREEMENT

Where the AI buildout sits in the price

Borrowers who choose: CleanSpark at 8.25% for a Meta data center; CoreWeave's convert coupon at 1.75% to 2.875%, upsized anyway. Borrowers who cannot: floating-rate loans reset on schedule. The valuations (Ren): 5% is the bar every long-duration growth stock must clear.

WHERE THEY CROSS

The specific points where one voice meets another: the same evidence read two ways, or the same mechanism with a different sign.

Michael Howell qualifies Michael W. Green on mechanism

TSCS refutes Steve Eisman on evidence

Vitaliy Katsenelson contradicts TSCS on mechanism

Michael W. Green contradicts Michael Howell on mechanism

Michael Howell contradicts TSCS on premise

Michael Howell qualifies Michael W. Green on evidence

Stephen Clapham qualifies Michael Howell on mechanism

Vitaliy Katsenelson refutes Michael W. Green on mechanism

Michael Howell qualifies TSCS on evidence

Michael Howell contradicts Michael W. Green on mechanism

Michael W. Green contradicts Michael Howell on evidence

Michael Howell refutes Michael W. Green on mechanism

Michael Howell contradicts Michael W. Green on evidence

Matthew C. Klein qualifies Michael W. Green on condition

Michael Howell qualifies Matthew C. Klein on evidence

Michael W. Green qualifies Michael Howell on mechanism

Michael Howell refutes TSCS on mechanism

Michael Howell qualifies Michael W. Green on condition

Michael Howell qualifies Vitaliy Katsenelson on mechanism

Vitaliy Katsenelson qualifies TSCS on premise

Vitaliy Katsenelson qualifies Stephen Clapham on mechanism

Vitaliy Katsenelson contradicts Michael Howell on evidence

Michael W. Green qualifies Michael Howell on condition

Michael Howell contradicts Mia Silverio on evidence

THE DATED TESTS

What would settle it, on the Docket. A test is specified when an outsider can settle it without asking anyone: the question, the source, the rule and what happens if the source is late, revised or silent.

Oct 28, 2026 p07-t01 PENDING

The Fed meets; another hike would support Klein's inflation reading, while no move would strengthen Paulson's case that September was a mistake.

Question	Does the Fed funds target, upper bound (FRED series DFEDTARU) read higher on its first observation after October 28, 2026 than on its last observation before it?
Source	FRED, Fed funds target, upper bound (DFEDTARU) `fred.stlouisfed.org/series/DFEDTARU`
Rule	value after date > value before date => hike
If the source is late, revised or silent	FRED dates a change at its effective date, so the first observation after the date is the reading; a reading not in yet waits for the next run. A series that is late, revised or silent is inconclusive, and the Result says what was read and what was missing.

Oct 15, 2026 p07-t02 REFUTED

Treasury publishes August foreign holdings; renewed Japanese buying despite poor hedged returns would undercut the missing-buyer thesis behind the long-end selloff.

Question	Did Japan's holdings of U.S. Treasury securities at the end of August 2026, in the Treasury International Capital table of major foreign holders published in mid-October, read higher than at the end of July 2026?
Source	U.S. Treasury, TIC Table 5: Major Foreign Holders of Treasury Securities (monthly text table) `ticdata.treasury.gov/resource-center/data-chart-center/tic/Documents/slt_table5.txt`
Rule	Compare Japan's August 2026 line with its July 2026 line in the same table. The answer is yes if the August figure is higher; no if it is equal or lower.
If the source is late, revised or silent	A table published after November 30, 2026, or a July figure revised in the same table so that the comparison changes sign, is inconclusive, and the Result says what was read and what was missing.

10-year at 5.5% p07-t03 PENDING

Howell expects a major bond opportunity; failure to turn would keep the growth brake unproven.

Specification pending

Jan 3, 2028 p07-t04 PENDING

Leveraged-loan and corporate maturities arrive; stress would show today's rates are reaching AI's borrowers.

Specification pending

THE TEST CAME IN

The answer was no. The Call expected no: the result supports it.

REFUTED Oct 19, 2026 · Test p07-t02

Japan's holdings of U.S. Treasury securities fell: $1,103.9B at end-July 2026, $1,068.3B at end-August 2026.

The test. Treasury publishes August foreign holdings; renewed Japanese buying despite poor hedged returns would undercut the missing-buyer thesis behind the long-end selloff.

Treasury's Table 5 of major foreign holders, read on 2026-10-19, puts Japan's holdings at $1,068.3B at end-August 2026 against $1,103.9B at end-July 2026, a change of -$35.6B in the same table (U.S. Treasury, TIC Table 5: Major Foreign Holders of Treasury Securities).

The rule compares the 2026-08 column with the 2026-07 column for Japan: the later figure is not higher, so the test resolves refuted.

EVIDENCE

Japan, 2026-07 column (billions of dollars)	**$1,103.9B** U.S. Treasury, TIC Table 5: Major Foreign Holders of Treasury Securities `ticdata.treasury.gov/resource-center/data-chart-center/tic/Documents/slt_table5.txt` · Oct 19, 2026
Japan, 2026-08 column (billions of dollars)	**$1,068.3B** U.S. Treasury, TIC Table 5: Major Foreign Holders of Treasury Securities `ticdata.treasury.gov/resource-center/data-chart-center/tic/Documents/slt_table5.txt` · Oct 19, 2026

The DeepStack Call. Conviction unchanged; the Call stands as written.

SOURCES AND FURTHER READING

1. Federal Reserve - September 16 policy statement · `www.federalreserve.gov/newsevents/pressreleases/monetary20260916a.htm`
2. Federal Reserve - September 16 press-conference transcript · `www.federalreserve.gov/mediacenter/files/FOMCpresconf20260916.pdf`
3. FRED - 10-year Treasury constant-maturity series · `fred.stlouisfed.org/series/DGS10`
4. The Overshoot - rising bond yields analysis · `theovershoot.co/p/rising-bond-yields-are-good-actually`
5. Potential Multibaggers - growth and the Fed hike · `www.potentialmultibaggers.com/p/the-end-of-an-era`
6. JunkBondInvestor - who the hike hits · `www.junkbondinvestor.com/p/credit-weekly-who-the-hike-hits`
7. HyperTech Investor - AI rally math · `hypertechinvest.com/p/the-math-behind-the-next-ai-rally`
8. Variant Perception - inflation and energy · `blog.variantperception.com/p/politics-trumps-economics-macro-snapshot`

How DeepStack settles a question

Every Part of The Buildout asks one question and gathers the strongest case on each side from named investors and analysts, attributed, dated and linked. DeepStack then takes a side in The DeepStack Call, names what it would take to change its mind, and sets dated tests that an outsider can read on the day. When a test comes in, the result is published with its evidence, confirmed, refuted or inconclusive, and the Call's history records when the house changed its mind and why. No person is scored or ranked. No accuracy rate is shown until ten results exist.

Quoted passages are short, attributed by name and linked to their source; the paraphrases are DeepStack's. Quote this memo with attribution and a link to the canonical page.

This memo reflects the page as of October 21, 2026. Canonical page: https://deepstack.ltd/stories/the-fed-hiked-the-long-end-kept-climbing/. Who is on each side: https://deepstack.ltd/sides/the-fed-hiked-the-long-end-kept-climbing/.

Analysis and opinion, not investment advice.